Serendib University Endowment Fund

Team Gmora · USD 10M · seven ETFs · decision date 2026-10-26 · market data to 2026-10-23

ACCEPT

We recommend that the committee accepts the mandate as proposed: invest 35% in equities and 65% in bonds. The portfolio is expected to earn 6.04% a year after costs, against the 5.94% needed for US inflation + 3.5%, and it stays inside every risk limit.

6.04%	**−$2.39M**	**−$208,300**	**9 vs 9.6**
expected a year (needs 5.94%)	worst crisis (limit $2.50M)	a very bad day, worst 1 in 100	days worse than forecast, 2023–2026

The portfolio

AGG	65.0%	$6.50M
SPY	15.6%	$1.56M
XLE	10.0%	$1.00M
EFA	9.4%	$942,600

What each crisis would cost today

GFC 2008	−23.9%	−$2.39M
Hormuz stagflation 2027 (our scenario)	−21.0%	−$2.10M
COVID crash 2020	−18.8%	−$1.88M
Rate shock 2022	−13.8%	−$1.38M
2025 tariff shock	−5.7%	−$574,700
2026 Hormuz shock	−2.9%	−$287,000

Income

About $326,800 a year (3.27%) against 3% spending.

How sure we are

- **Risk model:** GJR conditional EVT passed a one-time test on data it had never seen (Kupiec p = 0.86, Christoffersen conditional coverage p = 0.19).
- **Return:** a narrow margin of $10,700 a year. The answer changes if the equity premium is below 4.15% or if the 10-year real yield falls below 2.51%. It holds in 7 of 18 assumption combinations.
- **Ten years ahead:** the chance of meeting the objective is about 49%, and the chance real value ends below 80% of today's is 8%.

Next steps

- Take tax advice on the bond fund's interest before investing: if it is taxed, the objective is no longer met.
- Rebalance to the target weights every quarter.
- If the daily risk forecast stays above the limit for 5 days, the committee meets; nothing is sold automatically.
- Review the spending rate, the limits and the return assumptions every year.